

Employing in Armenia

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Armenian Labour Code
- **Monthly payroll** — salary payments in AMD, itemised payslips
- **Tax withholding** — flat 20% personal income tax withheld and remitted monthly
- **Pension & health insurance** — mandatory pension contribution and (from 2026) mandatory health insurance
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

Item	Detail	Legal Basis
Probation period	Maximum 3 months	Labour Code
Standard hours	8 hrs/day, 40 hrs/week	Labour Code
Mandatory health insurance (new for 2026)	Introduced as a new employer/employee obligation	2026 legislative reform

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage	AMD 75,000/month	Single national rate; a rise to AMD 85,000 (+13%) has been flagged for a future review
Employer pension contribution	5% of monthly salary up to AMD 500,000	Capped at AMD 25,000/month; contribution cap tied to the minimum wage
Personal income tax	20% flat rate	Applies to all employment income, no brackets

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 20 working days/year	Employer	Labour Code minimum
Sick Leave	Employer-funded for the initial period, state social insurance thereafter	Employer + state insurance	Requires a medical certificate
Maternity Leave	140 days (70 before + 70 after birth, longer for complications/multiples)	State social insurance	Job-protected

★ HERO TIP

Armenia's overall employer cost — a flat 20% income tax plus a capped 5% pension contribution — is genuinely competitive against both Eastern and Western Europe, since many CEE markets combine similarly low income tax with much higher employer social contributions. The newly introduced mandatory health insurance for 2026 is the one recent change to track closely when budgeting a new Armenia hire.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer pension contribution (capped, illustrative)	\$65.00	2.17%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,665.00	~122.2%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. The employer pension contribution is capped at AMD 25,000/month regardless of salary above the AMD 500,000 threshold, so its effective percentage shrinks sharply for higher earners. Mandatory health insurance contributions introduced for 2026 are excluded pending finalised rates — confirm current figures with your HeroForce EOR. Employee deductions (withheld separately) include the flat 20% income tax and a capped pension contribution.

Termination & Separation

Statutory notice periods under the Labour Code typically range from 14 to 30 days for employer-initiated termination on redundancy or similar grounds, with severance pay generally equal to at least the average monthly salary, scaling with tenure for longer-serving employees.

Public Holidays 2026

Date	Holiday	Type
1-2 January	New Year	National

6 January	Christmas Day (Armenian Apostolic tradition)	National
28 January	Army Day	National
8 March	Women's Day	National
24 April	Genocide Remembrance Day	National
1 May	Labour Day	National
9 May	Victory and Peace Day	National
28 May	Republic Day	National
21 September	Independence Day	National
31 December	New Year's Eve	National

Ready to hire in Armenia?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Armenia employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).